Rajasekhar, a national secretary of the Indian National Trade Union Congress (INTUC) as well as an YSRC leader. "It's wrapped in the sentiments of the people of Andhra. It is the outcome of an agitation in which 32 persons sacrificed their lives in November 1967." It would take 16 years more for RINL to come up in 1982, following a people's agitation that began in 1966 around the emotive plea of '*Visakha ukku, Andhralu hakku* (Vizag Steel is Andhra's right)'. The then prime minister Indira Gandhi had to make a statement in Parliament to assuage the feelings of the Andhra legislators who had threatened to resign en masse.

A CASE OF MISMANAGEMENT

YSRC parliamentary party leader V. Vijayasai Reddy, a chartered accountant, blames poor management for RINL's finances going into the red. "The financial irregularities of an earlier CMD and bad investments such as the one for a forged wheel factory at Raebareli in Uttar Pradesh are among the factors that pulled it down," he says, pointing to funds diversion and embezzlement totalling more than Rs 5,000 crore. He also laments that little was done to build on RINL's strengths. The GoI, he adds, has invested only Rs 4,900 crore in RINL, which has paid back Rs 45,000 crore in the form of taxes alone since 1993. This is not including the assets, such as the huge land bank and machinery worth Rs 3 lakh crore. "Privatisation, in the RINL case, would be unjust, unfair and against the interests of the nation," says Reddy, who is petitioning the Centre and has mobilised the signatures of over 120 fellow MPs.

Former Union finance and energy secretary E.A.S. Sarma, who returned to his hometown Vizag after retirement, has long tracked the evolution of the steel plant. "RINL is a profitable CPSE with highly skilled personnel comparable in professional competence to anyone else," he says. "Had the GoI allotted it a captive iron ore mine, its profitability would have increased manifold. It is ironic that the GoI prefers to allot iron ore blocks to private companies, exports good quality iron ore to Japan and South Korea but starves RINL of domestic iron ore." Iron ore from the mines of the National Mineral Development Corporation (NMDC) in Bailadila and contiguous areas in Chhattisgarh, brought by rail, pass through Visakhapatnam for export. For want of a captive mine, RINL buys ore from NMDC at market prices, incurring a loss of Rs 5,000 per tonne on the back of heavy borrowings. The Union steel ministry, on its part, contends that RINL is in deep loss, productivity is low and allotment of captive mines cannot help pull it out of its financial mess.

Sarma has written to both PM Modi and the Union finance minister Nirmala Sitharaman against the privatisation bid, citing a number of infirmities and issues. To begin with, he holds justifying privatisation so that it can yield

» SWINGING FORTUNES



STEELY OUTLOOK
The RINL plant in Visakhapatnam

MK PATNAIK

RINL suffered losses for 12 years after starting operations in 1982 before beginning to post profits from 2002-03. It became a loss-making business for three years again, reporting losses of Rs 1,604 crore in FY2015, Rs 1,263 crore in FY2016 and Rs 1,369 crore in FY2017. The first glimmer of hope appeared in FY2018 when it reported a small profit of Rs 96.7 crore before slipping back into the red. It reported a loss of Rs 3,319 crore in the April-December quarter of FY2019, its highest-ever. But with steel prices touching record highs in 2020, the firm's financial prospects are looking up again.

